

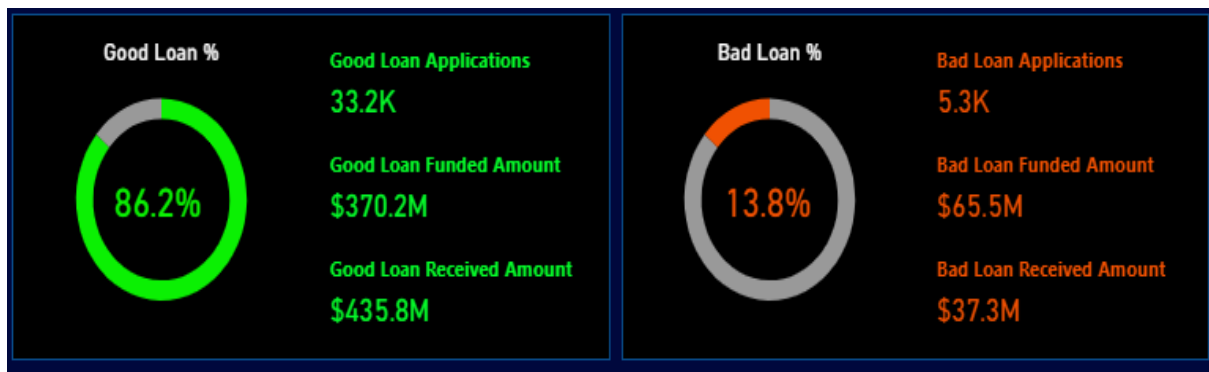
Bank Loan Analysis Report

1. Portfolio Health Overview



- Overall performance is strong with controlled risk.
- Average Debt-to-Income Ratio of 13.3% indicates the customers have good borrowing power.

2. Revenue vs Risk Imbalance



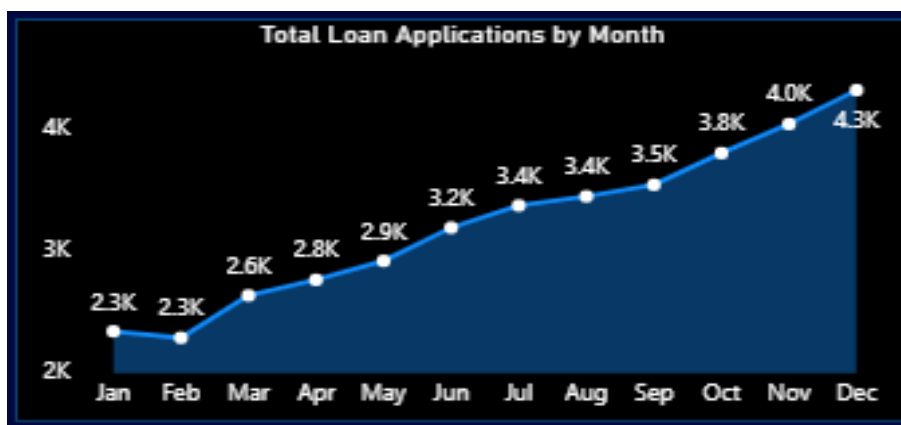
- In the loan portfolio, Good loans comprise of 86.2% which shows interest income is being generated successfully.
- We can clearly see that good loans generate 18% more value than the funded amount. SO scaling this segment yields far better ROI than expanding high risk lending.
- However, the bad loan segment even though 13.8% can have a meaningful impact on profitability as the recovery gap is \$28M.
- As we can see even a 13.8% of loans is locking up a disproportionately high amount of capital.
- Reducing or preventing bad loan% by even 2-3% could unlock millions in recoveries.

3. Deep dive into Loan status

Loan Status					
loan_status	Total Loan Applications	Total Funded Amount	Total Amount Received	Average Interest Rate	Average DTI
Charged Off	5333	\$6,55,32,225	\$3,72,84,763	13.88%	14.00%
Current	1098	\$1,88,66,500	\$2,41,99,914	15.10%	14.72%
Fully Paid	32145	\$35,13,58,350	\$41,15,86,256	11.64%	13.17%
Total	38576	\$43,57,57,075	\$47,30,70,933	12.05%	13.33%

- Fully paid segment is the best as it comprises:
 - > 83% of total loan applications.
 - > Lowest Interest rate of 11.64% and DTI of 13.17%.
 - > Highest amount received \$415.9M.
- Charged-off and Current loans are the highest risk segments:
 - > Even though they comprise a small portion, they have the highest Interest rates and DTIs.
 - > This clearly shows higher interest rates correlate with higher DTI and higher default risk, resulting into bad loans as the returns here won't fully offset the losses.

4. Loan Demand Trend



- Monthly loan applications have risen steadily from 2.3K in January to 4.3K in December showing 87% growth over the year.

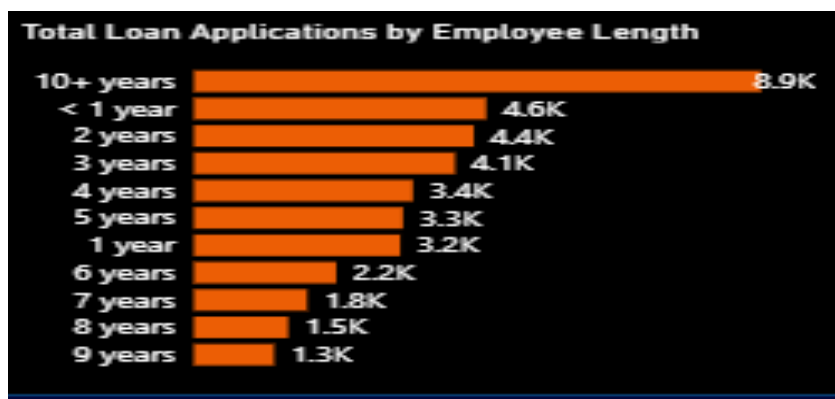
- This shows demand is seasonal and strongest in Q4 may be because of festival bonuses or salary hikes that happen around that time.

5. The dominant borrowing class



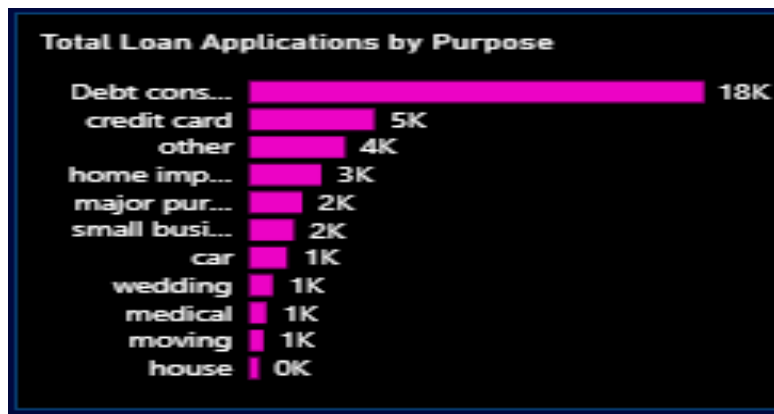
- Renters and Mortgage holders have the largest share.
- Renters are the core borrowing segment and also potentially at higher risk than owners.

6. Employment length stability drives volume



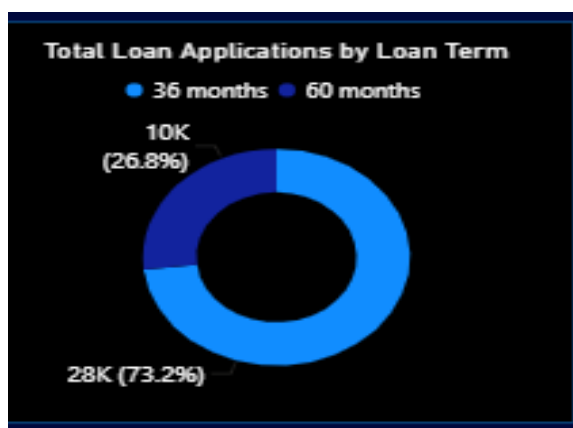
- This clearly shows that the longer the employment duration leads to rise income overtime which correlates to higher borrowing power. So this segment must be part of marketing campaign.
- Also we can newly employed borrowers are also revenue drivers which indicates their risk taking behaviour. We can target them with smaller loans having shorter tenures.

7. Debt consolidation is the driver of loan purpose category



- Debt consolidation comprises 50% of the loan purpose category.
- This shows customers are borrowing mainly to manage existing debt not discretionary spending.
- Credit cards are second in line driving revenue growth in this category.

8. Loan Term Preference



- Most of the borrowers are preferring 36 months tenure over the 60 months tenure.
- 36 months tenured loans comprise of 73.2% of the portfolio
- Clear indication that lesser terms lead to lower default exposure which again correlates with higher proportion of fully paid loans in the portfolio.

Recommendations

- 86% of our loans are healthy and highly profitable, but 14% of high-DTI, high-interest loans are eroding returns — tightening credit controls and scaling fully paid borrower profiles can significantly improve profitability without reducing growth.
- Focus on borrowers in the fully paid loans segment. Consider preferential pricing and fast track approval of loans for these borrower profiles. Whereas for the bad loans segment, higher interest rates are not compensating for higher default risk, so there is a need to tighten credit rules with below measures:
 - ➔ Cap DTI thresholds for high interest loans.
 - ➔ Implement additional verification methods for these borrowers or ask for additional collateral from them.
 - ➔ Reduce their exposure limits so that bank would lose less money in case of a default.
 - ➔ Introduce early repayment reminders or incentives and tenure extension,
 - ➔ Risk-based engagement with potential defaulters by launching an early warning program before they slip into default.
 - ➔ Improve collection and recovery workflows for bad loans.
 - ➔ Introduce risk caps instead of higher interest rates to prevent major financial losses.
 - ➔ Monitor high-DTI consolidation loans. Introduce structured consolidation programs.
- Build a credit model based on the profile of the borrowers in the fully paid segment.
- Scale lending in segments with:
 - ➔ DTI less than 13.5%
 - ➔ Interest rate less than 12%
 - ➔ Segments with proven full repayment history
 - ➔ Borrowers with stable employment
- Increase marketing spend and approval capacity in Q3-Q4 and also align liquidity planning as per demand spike in Q4.
- Introduce demand stimulation offers in Q1 and Q2 phases of the year.
- Renter segments and newly employed borrowers must be targeted with loan products that have shorter tenure and faster approvals. Also upsell credit cards and insurance to this segment of borrowers. Monitor repeat borrowers closely.
- Encourage more 36-month tenured loans for high risk profiles. Offer incentives on shorter tenures. Stress test long term loans under income shock scenarios.
- The risk intersection to watch for is – Renters + debt consolidation + 60-month tenure + high DTI. These borrower profiles must be explicitly tracked and capped if necessary.